HK/China

Capital Flow Policy: Mixed impacts, clearer framework - gauging implications for CNY and Banks

China's policymakers have introduced multiple regulatory updates affecting capital flows in recent months, including tighter outbound investment rules. Taken together, these measures reflect a mix of relaxation and tightening with differing implications for cross-border flows, and we view them as part of a broader effort to complete a comprehensive capital-flow regulatory framework rather than a move to restrict capital outflows. From an FX perspective, we expect the latest changes to provide a modest near-term tailwind for the CNY, although the medium-term implications are less clear. For the banking sector, we see BOC benefiting from a NIM tailwind as FX deposit spreads widen, while for Hong Kong banks, the potential headwind to wealth management tied to Mainland Chinese Visitor (MCV) business is well-flagged (link), but the tailwind from CIB activity appears underappreciated. In particular, we expect STAN and HSBC to benefit from the relaxation of multi-national company's cash management rules, greater flexibility around onshore corporates' overseas lending, expanded regulated channels for inbound/outbound financial investments, and continued progress in RMB internationalization.

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A holistic view on regulatory changes regarding capital flows

- **It is not a one-way street**: The recently announced update to outbound investment regulations has raised concerns about tighter capital controls. However, over the past 12 months, Chinese policymakers have introduced multiple regulatory updates affecting capital flows. Reviewing these measures (Table 2-Table 3), we see a mix of relaxation and tightening, with differing policy directions and implications for cross-border flows. This reinforces our view that the latest developments are less about cracking down on capital outflows and more about building a comprehensive governance framework for managing capital flows.

- **What's been relaxed?** Key points include the following: **1)** On cash management for multi-national companies operating in China, they have more flexibility in currency conversion and fund management for their RMB and FX liquidity onshore and offshore. **2)** On onshore corporates extending loans overseas, regulators increased the quota, and require lender companies to make filing instead of getting approval from SAFE. **3)** The PBOC and HKMA expanded the list of eligible institutions to participate in southbound Bond Connect and the PBOC resumed QDII quota approvals. **4)** There is relaxation regarding onshore banks' indirect offshore lending. Previously, there were strict criteria regarding onshore banks making indirect lending to offshore corporates via offshore banks. Under the new regulation (Doc 72), the criteria have been removed. ***In our view, at times when asset returns offshore are higher than onshore, the above-mentioned regulatory changes may be accommodative towards outbound flows.***

- **What's been tightened?** ***The following regulatory updates may be relatively more accommodative towards inflows and more restrictive towards outflows***.

See page 8 for analyst certification and important disclosures, including non-US analyst disclosures.

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1) Outbound investment rule announced on June 1 tightened corporate outbound investments and brought individual investors' outbound investments into regulatory scope, though details are yet to be released (link, link). **2)** CSRC and seven other agencies jointly announced tightening enforcement regarding cross-border securities trading regulation (link). **3)** Doc 252 requires China companies to timely repatriate their offshore IPO proceeds back to China, unless they obtain approval for eligible use of proceeds overseas. We do not expect this to have a material impact on existing business practices, following "Capital Account Foreign Exchange Business Guidelines (2024 Edition)" released by SAFE in 2024.

Macro & FX views

- ***We do not view the latest regulatory development as a broad-based move to restrict capital outflows.*** **First,** from a policy consistency perspective, China still needs to align implementation with its longer-term RMB internationalization agenda, which requires deeper and more accessible offshore RMB liquidity. **Second,** the current FX backdrop does not suggest an urgent macro need to tighten outflow controls, as the CNY is facing appreciation rather than depreciation pressure. **Third,** we noted easing outflow pressures. We estimate cumulative resident outflows over 2023-25 at around $1.3tn, including roughly $507bn (0.4% of GDP) via unofficial channels (Figure 1). Note that the cumulative resident outflow via unofficial channels has stabilized at ~$500bn since mid-2025, implying easing outflow pressure. On an FX-adjusted basis, returns on Chinese equities now compare more favorably with US markets, marking a shift from the structural discount seen in prior years, which partly contributed to the easing outflow pressure.

- **Macro implications**: Recent cross-border tightening looks less like a crackdown on capital outflows and more like a comprehensive governance framework for managing cross-border flows across capital, technology, data and talent; key watchpoints are the follow-up implementation rules that define practical boundaries, and whether Beijing expands compliant channels, via more approved routes, higher quotas, or both, to keep the framework consistent with RMB internationalization initiatives.

- **FX implications - tightening in outbound investment rules may provide a near-term tailwind for CNY strength,** by reducing outflow pressure and supporting repatriation. However, Chinese investors remain structurally underexposed to global assets relative to regional peers, suggesting that underlying diversification demand will persist. Over the medium term, the bias likely remains toward continued outbound flows from residents. Against this backdrop, and with currency stability no longer a binding constraint, the policy makers in fact selectively eased formal outbound channels since last year, including relaxed investment rules for southbound Bond Connect and the resumption of QDII quota approvals by the PBOC (Figure 4). Therefore, the recent tightening should be viewed less as a shift towards broad capital control tightening, but more as an effort to improve the composition and transparency of flows. We expect policymakers to keep opening "front-door" channels for controlled overseas allocation, while maintaining pressure on informal or unregulated routes.

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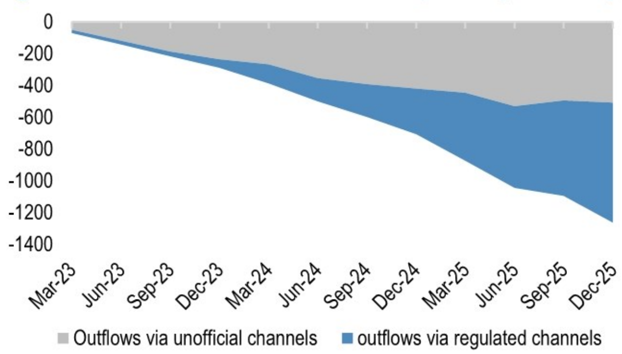
Banking sector and stock implications

- **Implications for the banking sector – on track for opening of financial markets**: China's top policy makers have reiterated their commitment to open up China's financial market (link) and RMB internationalization (link). We view the recent regulatory changes as part of a broader effort to complete a comprehensive capital-flow regulatory framework, which involves enhancing information flows and government oversight, and minimizing potential friction as China accelerates financial-sector opening and RMB internationalization. While these changes may cause temporary disruption in offshore wealth management - particularly in Hong Kong SAR for Mainland Chinese Visitor (MCV) business (as highlighted here), the longer-term trajectory should be an expansion of CIB business opportunities for selected financial institutions. Overall, we expect the net impact to be positive for HK/China banks over the medium to long term.

- **Improvement in FX deposits spread – BOC benefits the most**: The removal of loan proceeds use restriction for onshore banks' overseas corporate loans, according to Doc 72, will improve related loan demand, in our view. This benefits banks with strong domestic FX deposits franchise, as banks can allocate the FX deposits to fund overseas corporate lending to improve deposits spread. Among China banks we cover, BOC's FX deposits account for 16% of Group liabilities, the highest among peers (peers' average 4%). This should become a tailwind for its NIM, all else equal.

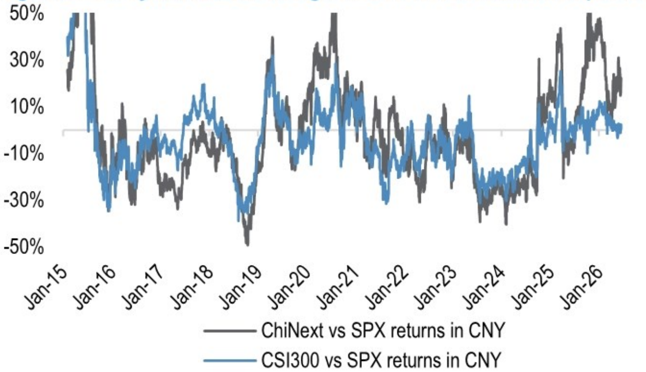
- **Rise in corporate & investment banking (CIB) business for selected banks – STAN and HSBC stand to benefit**: The relaxation on cash management for multi-national companies operating in China will benefit banks with strong onshore and offshore cash management capacity in RMB and foreign currencies. Relaxation on onshore corporate's overseas lending will benefit banks with ability to advise and provide currency hedging services. And the acceleration in RMB internationalization, as evidenced by rise in Dim Sum bonds and expansion of southbound Bond Connect program, etc., may benefit banks with strong onshore and offshore CIB franchise. Among banks in our coverage, STAN and HSBC will benefit the most via their CIB business, followed by BOC.

Figure 1: Resident outflows from China have picked up in recent years, with unrecorded flows accounting for a major share



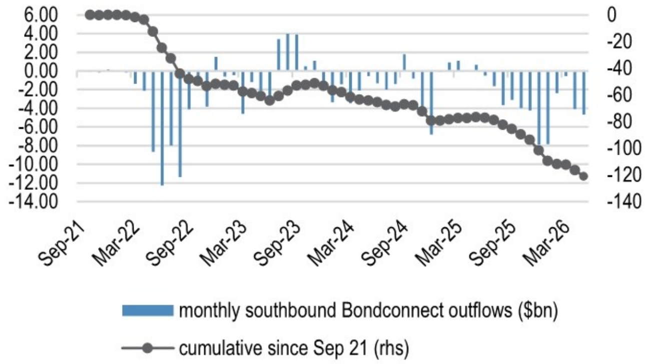
Source: SAFE, J.P. Morgan (see our FX team note here). Note: In $bn, cumulative since 1Q23.

Figure 2: The synchronized strength in CNY FX and Chinese equities has created return synergies for domestic investors



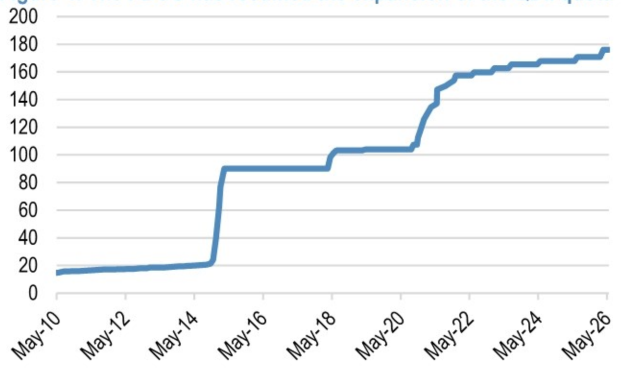
Source: Bloomberg Finance L.P., J.P. Morgan (see our FX team note here). Note: Relative return of Chinese stocks vs SPX returns in CNY terms, 6m rolling.

Figure 3: Resident outflows through southbound Bond Connect have picked up since last year's policy relaxation



Source: SHCH, J.P. Morgan (see our FX team note here).

Figure 4: The PBOC has resumed the expansion of the QDII quota



Source: PBOC, J.P. Morgan (see our FX team note here).

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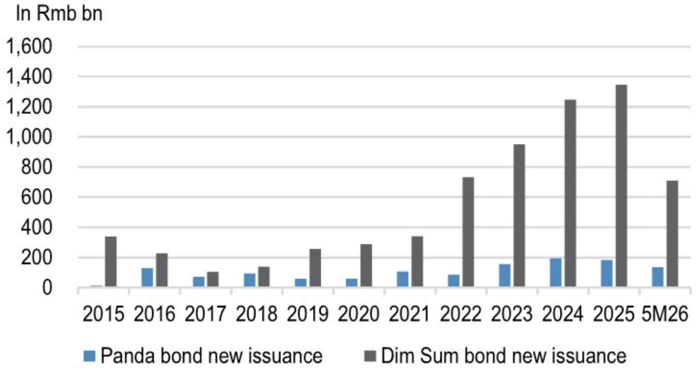
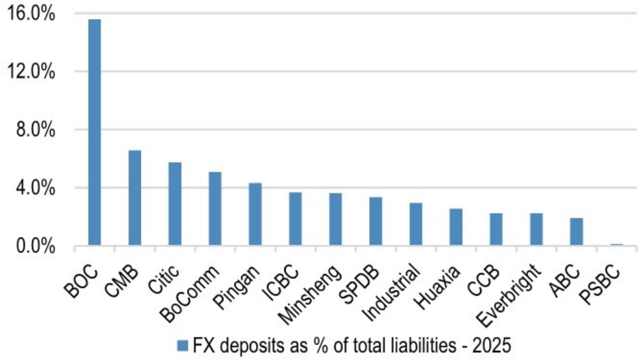
Figure 5: Dim Sum and Panda bond issuance is growing



Source: Wind, J.P. Morgan. Note: Panda bonds are RMB-denominated bonds issued by foreign entities inside mainland China, while Dim Sum bonds are RMB-denominated bonds issued outside mainland China for international investors.

Figure 6: FX deposits as % of total liabilities by bank



Source: Company data.

Table 1: Summary of key regulated outbound investment channels

Name	Qualified assets	Qualified investors	Cap/flow limits
Stock Connect (southbound)	HK equities	Individual and institutional investors	Daily flow cap of CNY42bn
SH-LN Stock Connect (eastbound)	Equity (CDR)	Individual and institutional investors	CNY250bn
QDII/RQDII	Overseas securities including bonds and equities	Institutional investors	HK$176bn
Mutual Recognition of Funds (southbound)	Public funds in HK	Individual and institutional investors	CNY300bn
WMP connect (southbound)	Wealth management products in HK	Qualified retail investors in the Greater Bay Area	CNY150bn
Payment connect (southbound)	Cash	NA	Subject to the $50k/year quota for cash service
Bond Connect (southbound)	Bonds in HK	Institutional investors	CNY500bn
QDLP (Qualified Domestic Limited Partner)/QDIE (Qualified Domestic Investment Enterprise)	Overseas securities in secondary and primary markets, HF, PE, REIT etc.	Institutional investors	Case by case on pilot
Cash	Cash	Individual investors	Annual limit of $50k/person

Source: PBOC, HKEX, J.P Morgan (see our FX team note here).

Table 2: Summary of recent regulatory changes on cross-border capital management

Document	Target audience and topic	What's changed?	Notes
Relaxation			
"Notice of PBOC and SAFE on Matters Related to Multinational Corporations' Integrated RMB and Foreign-currency Cash Pooling Business" (Doc 251) issued in Dec 2025 "中国人民银行 国家外汇管理局关于跨国公司本外币一体化资金池业务有关事宜的通知"	Targeting multinational corporations on cash management	Advance from the pilot program first released in 2021 in 10 trial cities and provinces, and establish a country-level framework allowing multinational companies to centrally operate and manage onshore and offshore RMB and foreign currency funds. Some key points include: 1) Set uniform standard for RMB and foreign currency cash management business. Companies can set up one cross-border cash pool to manage onshore and offshore RMB and FX, with SAFE being the direct regulator; while under previous practice, companies need to maintain two separate cross-border cash pools, with RMB cash pool regulated by the PBOC and FX cash pool regulated by SAFE. 2) For cash-pool member companies (i.e. subsidiaries under the same corporate umbrella), centralize quotas for external debt and overseas leading and allow the member companies to flexibly allocate funds within the approved quota. 3) Company can smoothly convert FX and transfer between onshore-offshore accounts within a quota approved by SAFE, while previously the FX conversion would require SAFE filing first.	**JPM view:** This improves flexibility for corporate cash management. As overseas asset yield is higher than that in onshore China, it is reasonable to expect corporates to allocate idle funds to higher yield investments, after satisfying liquidity requirements for daily operations. On the other hand, banks with both onshore and offshore cash management capacity are likely see a rise in CIB business opportunity.
"Notice on Issues Related to the Management of Funds for Domestic Enterprises Overseas Listings" (Doc 252) issued in Dec 2025 "关于境内企业境外上市资金管理有关问题的通知"	Targeting enterprises on the management of funds from overseas listing	1) New regulation changes the registration authority from a government agency, the State Administration of Foreign Exchange ("SAFE") to "bank", and extends the registration deadline from 15 working days after listing to 30 working days. 2) Issuers can repatriate funds back to China in either foreign currency or RMB. And the issuers can decide when to convert the FX into RMB.	**JPM view:** This improves efficiency for fund repatriation, and increase flexibility for issuers' FX management.
"Administrative Measures for Overseas Lending of Domestic Enterprises" (Doc 63) issued in Mar 2026 "境内企业境外放款管理办法"	Targeting non-FI enterprises on overseas lending	1) The new regulation raised the macro-prudential coefficient from 0.5 to 0.6, therefore increases the cap for overseas lending capacity; 2) Under the new regulation, enterprises no longer need SAFE approval for overseas lending quota as long as the balance is within the cap, and they only need to register with local SAFE branch before each lending; 3) The new rule consolidates the macro-prudential management principal for both RMB and FX, including loan tenor, funding source, cap of loan balance, etc. While under previous practice, RMB lending is governed by Doc 306 released in 2016 and FX lending is governed by Doc 24 released in 2009.	**JPM view:** This increases efficiency and capacity for onshore companies in overseas lending. This is helpful for onshore corporates with sizable overseas subsidiaries. Banks which are strong in offering FX hedging services will see rise in business opportunity.
Notice on Adjustments to Matters Related to Overseas Loan Business of Banking Financial Institutions (Doc 72) issued in Apr 2026 "中国人民银行 国家外汇管理局关于调整银行业金融机构境外贷款业务有关事宜的通知"	Targeting banks on the overseas loan business, particularly on the use of loan proceeds by overseas borrowers	This targets the use of overseas loan proceeds. The new regulation relaxed the restrictions on the use of loan proceeds, for offshore loans indirectly extended by onshore banks through overseas banks. Under the previous rule in Doc 27 released in 2022, such loans shall only be used for expenditures related to the offshore enterprise's business scope, and shall not be used for securities investment or for repaying offshore debts under onshore guarantees for offshore loans.	**JPM view:** This expands the usage of proceeds for onshore banks' overseas loans. For onshore banks with strong domestic FX deposits franchise will benefit via rise in FX deposits spread.
PBOC and SAFE eased formal outbound channels since 2025	NA	1) In Jun 2025, the PBOC and SAFE resumed approval of new QDII quotas (link), after one year of suspension. 2) In July 2025, the PBOC and HKMA expanded the list of eligible institutions to participate in southbound Bond Connect to include non-bank financial institutions (brokers, mutual funds, insurers, and wealth management companies) (link).	

Source: State Council, SAFE, PBOC, J.P. Morgan.

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Table 3: Summary of recent regulatory changes on cross-border capital management - continued

Document	Target audience and topic	What's changed?	Notes
Tightening			
"Notice on Issues Related to the Management of Funds for Domestic Enterprises Overseas Listings" (Doc 252) issued in Dec 2025 "关于境内企业境外上市资金管理有关问题的通知"	Targeting enterprises on the management of funds from overseas listing	New regulation emphasizes that funds “should, in principle, be promptly repatriated to China”, compared to old document (Doc 54 released in 2014) which mentioned that "Funds raised from overseas listing can be repatriated to China or kept overseas."	**JPM view:** According to Doc 54 in 2014, funds raised from overseas listing can be repatriated to China or kept overseas. While recent practice, guided by the "Capital Account Foreign Exchange Business Guidelines (2024 Edition)", has required prompt repatriation of such funds to China, the new regulation reinforces this principle, thus, we do not expect this to lead to tightening in practice.
"The Regulations on Outbound Investment" (Doc 837) issued in Jun 2026 "国务院关于对外投资的规定"	Targeting both individuals and enterprises on overseas investment	1) The new regulation explicitly brings individual residents into the outbound investment framework for the first time. And Clause 33 in Doc 837 states that specific measures for the administration of outbound investment by individuals who are residents of Mainland China, etc. shall be formulated by respective authorities in charge of investment and commerce. 2) Clause 15 newly establishes a national security review system, specifically targeting overseas mergers and acquisitions involving critical technologies, core data, strategic resources, and similar areas, thereby addressing the gaps in the enterprise outbound investment rules (Doc 3 released by Ministry of Commerce (MOCOM) in 2014 and Doc 11 released by National Development and Reform Commission (NDRC) in 2017. The new regulations also introduce a tiered penalty framework for enterprises that violate the rules, which was absent in the old rules.	**JPM view:** The introduction of national security review on corporate outbound investment should have significant impact on capital flow. The introduction of outbound investment regulation for individual investors may be viewed as restrictive to outflow, though we need to wait for detail announcement in order to assess the impact (link).
“Implementation Plan for the Comprehensive Rectification of Illegal Cross-Border Securities, Futures and Fund Business Activities” issued in May 2026 “综合整治非法跨境证券期货基金经营活动实施方案”	Targeting overseas institutional offering cross-border investment services to mainland Chinese clients	The Plan focuses on shutting down illegal cross-border operations and guides investors to invest overseas through lawful channels. After a two-year transition period, overseas institutions must fully shut down their existing Mainland business. Please refer to our note for details (link). This compares to the CSRC’s announcement in Feb 2023 (link) that existing Mainland clients were allowed to trade and deposit new funds into offshore brokers if the new funds are in compliance with the foreign exchange control regulation in China.	**JPM view:** This has negative implications for online brokers. Note that for Futu, Mainland Chinese Visitors make up 13% of paying clients, ~17% of AUM, 20% of revenue and 30% of profit. The impact for other HK financials (i.e.: banks and insurers) are more manageable. Please refer to our note for details (link)

Source: State Council, SAFE, PBOC, J.P. Morgan.

Companies Discussed in This Report (all prices in this report as of market close on 16 June 2026, unless otherwise indicated)
Bank of China - A(601988.SS/Rmb6.04/OW), Bank of China - H(3988.HK/HK$5.47/OW), HSBC Holdings plc (0005)(0005.HK/HK$146.00/OW), Standard Chartered Plc (HK) (2888)(2888.HK/HK$208.20/OW)

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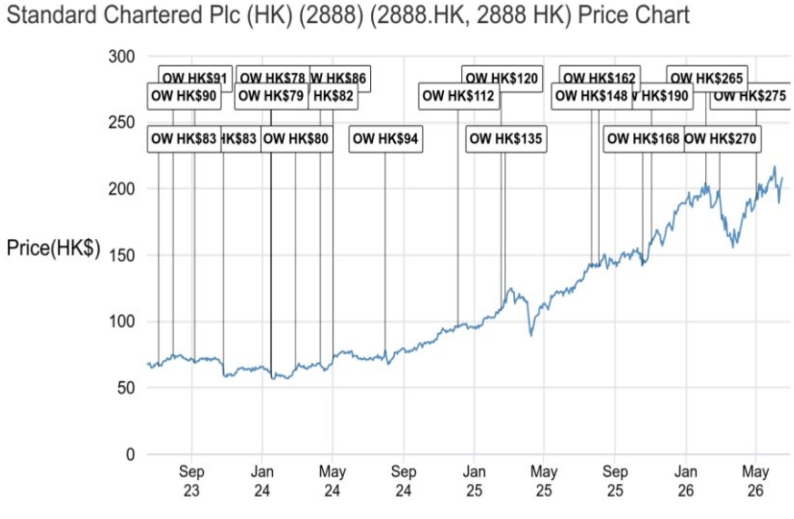
Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 31, 2000. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK$)	Price Target (HK$)
07-Jul-23	N	61.00	66
07-Aug-23	OW	63.85	80
16-Oct-23	OW	62.50	81
31-Oct-23	OW	57.20	83
17-Jan-24	OW	59.10	81
22-Feb-24	OW	60.25	74
10-Apr-24	OW	63.90	78
02-May-24	OW	67.00	83
06-Aug-24	OW	62.05	86
19-Nov-24	OW	70.55	90
17-Feb-25	OW	84.50	95
20-Feb-25	OW	88.40	108
20-Mar-25	OW	89.75	115
05-May-25	OW	86.20	108
22-Jul-25	OW	98.45	118
01-Aug-25	OW	96.15	122
30-Oct-25	OW	106.50	132
02-Dec-25	OW	110.50	138
05-Feb-26	OW	139.00	165
18-Mar-26	OW	124.80	180
07-May-26	OW	140.50	182



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 24, 2002. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK$)	Price Target (HK$)
07-Jul-23	OW	66.55	83
01-Aug-23	OW	74.25	90
07-Sep-23	OW	69.20	91
27-Oct-23	OW	59.75	83
16-Jan-24	OW	61.55	79
18-Jan-24	OW	57.35	78
28-Feb-24	OW	63.35	80
10-Apr-24	OW	68.25	82
03-May-24	OW	71.95	86
31-Jul-24	OW	76.90	94
04-Dec-24	OW	96.80	112
17-Feb-25	OW	108.20	120
24-Feb-25	OW	116.00	135
22-Jul-25	OW	141.30	148
04-Aug-25	OW	141.30	162
19-Oct-25	OW	142.00	168
03-Nov-25	OW	157.80	190
05-Feb-26	OW	203.40	265
01-Mar-26	OW	198.50	270
03-May-26	OW	190.80	275

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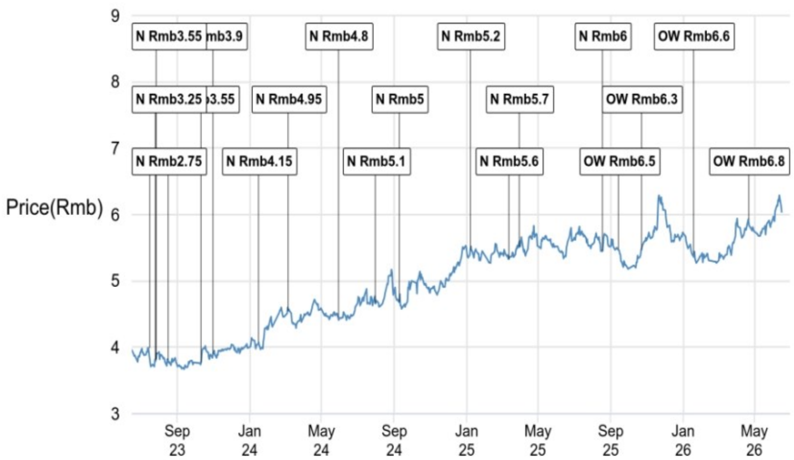
Bank of China - H (3988.HK, 3988 HK) Price Chart

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 05, 2006. All share prices are as of market close on the previous business day.

Date	Rating	Price (HK$)	Price Target (HK$)
06-Jul-23	N	3.10	3.1
26-Jul-23	N	2.82	3
28-Jul-23	N	2.83	3.1
17-Aug-23	N	2.66	2.95
12-Oct-23	N	2.74	2.9
01-Nov-23	OW	2.74	3.2
17-Jan-24	OW	2.91	3.4
07-Mar-24	OW	3.10	3.8
30-May-24	OW	3.78	4
01-Aug-24	OW	3.48	4.2
10-Sep-24	OW	3.34	4
13-Nov-24	N	3.64	3.7
08-Jan-25	N	3.92	3.8
13-Mar-25	N	4.51	4.15
31-Mar-25	OW	4.59	5.4
19-Aug-25	OW	4.39	5.5
15-Sep-25	OW	4.46	5.7
23-Oct-25	OW	4.36	5.5
22-Apr-26	OW	5.25	5.8

Bank of China - A (601988.SS, 601988 CH) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 06, 2006. All share prices are as of market close on the previous business day.

Date	Rating	Price (Rmb)	Price Target (Rmb)
17-Jul-23	N	3.99	2.75
26-Jul-23	N	3.81	3.25
28-Jul-23	N	3.82	3.55
17-Aug-23	N	3.81	3.6
12-Oct-23	N	3.77	3.55
01-Nov-23	N	3.90	3.9
17-Jan-24	N	4.07	4.15
07-Mar-24	N	4.55	4.95
30-May-24	N	4.45	4.8
01-Aug-24	N	4.66	5.1
10-Sep-24	N	4.68	5
08-Jan-25	N	5.46	5.2
13-Mar-25	N	5.33	5.6
31-Mar-25	N	5.50	5.7
19-Aug-25	N	5.45	6
15-Sep-25	OW	5.48	6.5
23-Oct-25	OW	5.46	6.3
19-Jan-26	OW	5.40	6.6
22-Apr-26	OW	5.93	6.8

The chart(s) show J.P. Morgan's continuing coverage of the stocks; the current analysts may or may not have covered it over the entire period.
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*Please note that the percentages may not add to 100% because of rounding.
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